

PITCH — BIDU — VERDICT

ADJUDICATED 2026-09-16 — REJECT-for-now — re-court Q3 (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

Baidu is a cheap-looking stub wrapped around a large, partly illiquid, partly trapped pile of cash — and the cheapness is mostly an accounting timing artifact that is about to reverse.

The core facts we are underwriting:

- **The cash is real but smaller than the headline.** The company shows RMB283.1B “total cash and investments,” gross. Strip out ~RMB45B of illiquid “adjusted long-term investments” and ~RMB113B of debt and you get roughly **RMB125B of net liquid assets ≈ \$17.4–18.4B** depending on the FX rate you use — call it **~55–59% of the ~\$31.4B market cap**.
- **The operating business behind that cash is being valued at roughly \$13–14B**, against ~\$18.7B of trailing revenue and ~RMB10B/yr of non-GAAP net income — about **9–10x ex-cash earnings**. On the surface, that is not expensive.
- **But the cash is being spent fast.** Free cash flow excluding iQIYI was **negative RMB8,274M in Q2-26** (operating cash flow 3,096 less capex 11,370), disclosed directly in the company’s own non-GAAP reconciliation ([Q2-26 release, ir.baidu.com](#)). That is roughly **–RMB33B/yr**, and it has been negative for four straight quarters.
- **The bill for that spending has not hit the income statement yet.** Full-year FY25 depreciation of fixed assets/computer parts was **RMB7,746M** ([FY25 6-K exhibit, sec.gov](#)). Capex is now running **RMB11,370M in a single quarter**. That is roughly a 5x step in the asset base, and it converts into depreciation over the next four to six quarters, into a gross margin that has already fallen to 40.9% from a historical ~50%. So today’s 9–10x becomes tomorrow’s 20x+ unless the GPU-cloud revenue scales faster than the depreciation tail.
- **The company has also promised money back** — a \$5B repurchase through 2028 and a first-ever dividend policy with first payment expected in 2026 ([6-K 2026-02-04, sec.gov](#)) — while burning cash. Burn plus buyback is roughly **RMB44B/yr against ~RMB125B of net liquid**: about a **three-year clock** on the optionality, before any dividend.

So: we believe this is a real balance sheet attached to a business making a large, unhedged, undisclosed-backlog bet, at a price that pays us for *some* of that risk but not enough. The right posture is a **priced, gated shopping order**, not a position.

What the market believes

The market believes two things at once, which is why the stock sits 39.8% below its 52-week high and only 11% off its low.

1. **The bull half:** AI cloud is inflecting (GPU-cloud growth cited at +283%), the balance sheet is a floor, the Stock Connect inclusion effective 2026-09-07 ([6-K exhibit, sec.gov](#)) plus the pending dual-primary HK conversion brings a new marginal buyer, and street targets in the ~\$180 area imply a large re-rate.
2. **The bear half:** search advertising has now printed four consecutive high-teens down quarters (Q2-26 online marketing RMB13.1B, -19% y/y), and the free cash flow collapse was covered by essentially everyone who wrote up the print.

Where consensus is *not* looking: the **timing gap between the capex and its depreciation**. Street models book the revenue from the buildout but appear to carry EPS flat-to-up (Q3-26 around \$1.21/ADS on one vendor's page) without the D&A tail landing in a 40.9%-margin mix. That is the mechanical gap. It is a known-date gap, not a secret.

Why we might have edge

- **A subtraction nobody published.** The issuer retired the net-cash-net-of-debt measure it used to disclose in 2025 (defined as cash + short-term investments + long-term time deposits/HTM **less** total loans, convertible notes and notes payable — [Q2-25 release](#)) and now publishes only the gross figure, which additionally *adds* illiquid long-term investments. Our own red bench initially called this “uncheckable” and docked itself two conviction points. It is checkable: the debt inputs sit in the same 6-K. Doing the subtraction ourselves is a small but genuine informational edge over anyone quoting the gross headline.
- **The D&A cliff is arithmetic, dated, and primary-sourced.** FY25 annual depreciation vs quarterly capex is a public number pair. The gap between it and flat-to-up consensus EPS is the trade — if there is one.
- **Nobody can check the backlog, and that asymmetry is the finding.** There is no RPO, no contracted-revenue table, no AI-Cloud customer concentration disclosure anywhere in the 6-K/20-F set. Growth is quarter-print-only. Anyone underwriting “durable” cloud growth is underwriting a number that does not exist in the filings. We are not.
- **Cheap optionality if the price comes to us.** At ~\$76–81 the stub is 5–6x ex-cash earnings on the broad net-liquid basis. That is a price at which we are paid to be wrong about the depreciation tail.

Why it might be priced in

Honestly: most of it probably is.

- The FCF collapse was **consensus** — every print write-up carried it. Our red bench tagged it CONSENSUS itself.

- The ad decline is four quarters old and the stock is 40% off its high; a name 11% off its low is not a fresh dislocation, it is a name where the bear case has already been expressed.
- The balance-sheet floor is not a secret either; the gross number is in the release, and most buyers do not need our subtraction to know the company is cash-rich.
- The only genuinely non-consensus legs — the metric retirement and the depreciation tail — are (a) hygiene rather than valuation, and (b) a lag effect that the market can re-price in a single afternoon at the print. Being early on a mechanically-dated re-rate is not the same as being right, and it is not worth a carry.
- Stock Connect inclusion is, on the normal base rate, **demand-additive**, not a drain. Our venue-migration worry is a hypothesis with zero data behind it right now.

Net: our edge is a subtraction and a lag, not an insight about the business. That is worth a limit order, not a market order.

What could go wrong

Failure narrative 1 — The value trap converts (most likely)

We buy at \$80 because the stub is 5x ex-cash earnings; over the next four to six quarters the depreciation from the RMB11B/qtr capex lands, non-GAAP earnings halve, and the stub that was 5x is 12x on the new number, at which point it is no longer cheap and there is no catalyst to hold for. Meanwhile the cash floor we underwrote shrinks by RMB44B/yr from burn plus buyback. We lose 25–35% and the thesis never breaks in a single identifiable moment — it just decays.

Monitorable tripwires: quarterly D&A line vs prior quarter; gross margin below 38%; capex ex-iQIYI staying above RMB9B; net-liquid estimate falling below 45% of market cap. Armed: none.

Failure narrative 2 — Controller-and-sovereign discretion (NO monitorable tripwire)

A dual-class controller with 10-vote Class B shares over a Cayman holdco with VIE-held mainland operations decides something we cannot see coming and cannot pre-empt: a large related-party asset injection, a capex mandate accepted for policy reasons, a domestic-chip procurement directive, a re-escalation of US listing/audit politics, or a tightening of the mainland cash-transfer restrictions the 20-F already flags qualitatively. Any one of these can re-rate the balance-sheet floor to a fraction of face value overnight. **There is no filing, no dataset, and no price series that leads this.** The disclosure appears simultaneously with, or after, the tape moves. **Unknown-unknown class named: *outside-the-disclosure-perimeter discretion* — decisions taken by a controlling shareholder or a sovereign, first observable at the print or on the tape, with no monitorable precursor.** A related sub-class: *definitional discretion* — the issuer controls whether the metric our own gate depends on (restored net cash) is ever published again, and in what form. There is no sensor for “a number the company chose not to print.” **Because no tripwire exists, this risk must be paid for in size, not in monitoring: it is the reason the sleeve is capped at a quarter and unlevered.**

Failure narrative 3 — The reflexive / structural leg

- **Our own size vs ADV:** this is the *benign* half. BIDU ADS turnover is deep (estimated ~7–10M ADS/day, roughly \$0.7–1.0B notional — **estimate, unverified, see open item 10**). A quarter-sleeve at any plausible book size is well under 2% of one day's volume. We cannot move this stock and we will not be trapped by our own clip. **We are the price taker here, and that is the correct assumption to hold until the ADV data says otherwise.**
- **The structural half is the ADV assumption itself.** Stock Connect inclusion became effective 2026-09-07 and dual-primary conversion is expected within 2026. If marginal price discovery and index demand migrate to the Hong Kong line (9888.HK), the ADS becomes the residual venue: thinner, wider, and prone to a persistent discount to the HK parity price. Our exit liquidity assumption — the one thing that makes the “quarter-sleeve, unlevered” sizing safe — is exactly the thing the Connect event puts in question. Our blue bench reduced this to PLAUSIBLE precisely because **no ADV or parity data was pulled by either bench**. We are sizing on an unmeasured liquidity assumption.
- **Doctrine interactions, stated plainly:**
 - i. Our **net-cash-floor doctrine** and our **metric-retirement detector** point opposite directions on the same fact. The floor doctrine says “probably clears 50%, therefore support”; the retirement detector says “the issuer’s choice to stop publishing it *is* the datum.” If we let the floor doctrine win, we have just underwritten a number the issuer can redefine at will. This deck deliberately lets the detector win and demands the *restored line*, not our own reconstruction, as the gate.
 - ii. Our **reopen-on-restored-disclosure gate is gameable**. An issuer that wants the re-rate can restore a net-cash line on a flattering definition. The gate therefore requires the *2025 definition verbatim*, ex-iQIYI, not any net-cash line.
 - iii. Our **runway_calculator** fired soft (~3-year clock, no going-concern) while our **buy-the-floor** instinct reads the same balance sheet as support. Same numerator, opposite conclusions; we resolve it by pricing the floor at a haircut, not at face.
 - iv. The **prize-table mandate** and the blue bench’s “N/A — not a pre-revenue developer” ruling collided. The deck overrules the bench: there are time-gated private unknowns, so the table is built below.

If this position loses money, the most likely reason will be that we bought a stub that only *looked* cheap — the depreciation tail from a roughly 5x asset-base step landed in a 40.9%-gross-margin mix and turned 9x ex-cash earnings into 20x+ without the stock ever giving us a single clean moment to get out, while the balance-sheet floor we underwrote was simultaneously drained by ~RMB44B/yr of capex and buyback and haircut by mainland cash-transfer restrictions we never quantified.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Pack price \$99.47	Both benches pulled live quotes	Live ~\$95.6–97.1; pack is stale by ~3%	Yes — pack superseded; deck uses \$96.40

Claim	How checked	Found	Confirmed?
Pack NEXT PRINT 2026-11-18	Cross-check vs two calendars; search of all 6-K/PRs for a dated Q3 announcement	Two vendors say Nov 24; pack's Nov 18 is yfinance-derived; no company PR names any date	No — date is UNCONFIRMED either way
FCF ex-iQIYI $\approx$ -RMB8.3B	Red <i>derived</i> it from Baidu OCF minus iQIYI OCF; blue found it disclosed directly in the Q2-26 non-GAAP reconciliation (3,096 / -11,370 / -8,274)	Figure correct; red's method was unnecessary reconstruction of a printed number	Yes on fact — RED BENCH ERROR on method
"The brief's FCF gate is pending Q3"	Same reconciliation, four quarters back	Gate has read NO for ≥ 4 quarters, not one. A tripwire written after it had already tripped	Yes — briefing defect, not new information
"Net cash is uncheckable — the issuer chose not to let us check"	Blue pulled the debt inputs from the <i>same</i> 6-K (LT loans current 14,765 $\rightarrow$ 2,027; converts current 1,459 $\rightarrow$ 1)	Checkable. 283.1 - $\sim$ 45 - $\sim$ 113 $\approx$ RMB125.1B	RED BENCH ERROR — overturned. Red docked itself 2 conviction points for a subtraction it declined to perform
Net liquid = "\$18.5B $\approx$ 59% of mcap"	Re-ran the FX ourselves	Benchs used inconsistent FX. Blue's \$18.5B implies $\sim$ 6.76 RMB/USD; red's own numbers imply $\sim$ 7.16-7.22. RMB125.1B is \$17.4B at 7.20 / \$18.4B at 6.80 — a \$1.0B spread, $\sim$ 3% of market cap	Partially — BOTH BENCHES ERRED. Deck carries the range, not a point
Stub multiple $\sim$ 9x ex-cash	Recomputed across the FX range	EV \$13.0-14.0B on $\sim$ \$1.4B non-GAAP NI = 9.3-10.0x	Yes, with the range restored
Stub multiple ignoring trapped cash	Applied blue's <i>own</i> finding C (mainland transfer restrictions) as a 20-30% haircut on group cash	Net liquid falls to $\sim$ \$13.4B; stub = $\sim$ \$18B = $\sim$13x , not 9x	BLUE BENCH INTERNAL INCONSISTENCY — it raised the haircut and then valued the stub without it
iQIYI contaminates the cash figure (from the brief)	iQIYI Q2-26 disclosure: RMB4.12B = 1.5% of consolidated	Brief's leg is wrong; and Baidu now reports ex-iQIYI columns itself	Refuted — brief error, correctly caught by red
Ad gate "<15% decline = stabilization"	Sequential arithmetic off Q3-25 Core marketing RMB15.3B	Flat-QoQ prints -14.4% and clears the gate on base effect alone; but repeating the 2025 -5.6% QoQ shape prints $\sim$ -19% and fails	Gate is weak, not information-free. Red said "no information" — overstated ; deck uses the QoQ gate instead
"Consensus \$1.21 EPS is above our path"	Checked the comparison pair	Basis-unstable: the same vendor page shows last quarter \$1.39 reported vs \$1.073 expected — a beat , against red's "\$1.06 actual"	NOT confirmed. Mechanism (D&A lag) survives; the consensus-gap <i>evidence</i> does not. Deck does not lean on it
Circulating "\$9.84 consensus miss"	Currency-basis check	RMB-vs-USD artifact (RMB7.22 $\approx$ \$1.06)	Refuted — correctly discarded
Total debt $\approx$ \$16.6B	Traced to source	stockanalysis.com — a secondary aggregator. Two	Not primary — open item 4

Claim	How checked	Found	Confirmed?
		line items were pulled from primary; the total was not	
Depreciation cliff	FY25 6-K exhibit, primary PDF	FY25 dep RMB7,746M/yr vs capex RMB11,370M/qtr	Yes — primary, and the largest single number in either bench's stack
"No dividend, Cayman" (brief)	6-K 2026-02-04	\$5B buyback through 2028 plus first-ever dividend policy	Refuted — brief error
Stock Connect inclusion	6-K 2026-09-04 exhibit, primary	Effective 2026-09-07	Yes
AI-Cloud RPO / backlog / customer concentration	Full 6-K + 20-F search	Nothing disclosed. NOT_DISCLOSED is the finding	Yes — permanent coverage gap
"Prize table N/A — not a pre-revenue developer"	Deck doctrine check	Wrong test. The mandate triggers on time-gated/private unverified, which exist here	BLUE BENCH ERROR — overruled; table built below
JSON template's 8-K event gate	Form-type check	Baidu is a foreign private issuer — it does not file 8-Ks. The template default is wrong for this name	Corrected to 6-K / 20-F / 144 / 4
Detector dispatch (albuquerque_permits, austin_permits, beauty_virality, clinicaltrials_lookup, competitor_trial_omission, pentagon_jbook, doe_budget, cybercom_budget, ic_contracting_proxy)	Both benches' logs	All NOT-FIRED as router dispatch errors on a PRC internet issuer, not as evidence	Yes — noise, correctly excluded
app_review_velocity	Distribution check	Mainland distribution runs via Huawei/Xiaomi/Tencent stores; a US App Store read would be affirmatively misleading	Yes — correctly declined
Form 144 filer (CIK 1958244, 2026-07-01)	Attempted identity resolution	Unresolved by both benches , flagged not scored	No — open item 11
Options chain / IV	Searched both bench outputs	Neither bench pulled a chain. No IV, no RV, no percentile	No — open item 5; this is why the instrument recommendation below is "none, pending"

PROPOSED ENTRY BANDS

No entry today. Both courts say REJECT-for-now. These are the reopen bands.

Reference: \$96.40. Shares ≈ 326M ADS. Market cap ≈ \$31.4B.

A. Price-only reopen (valuation gets there without the company helping)

Tranche	Level	What it buys	Size
Starter	\$80.70 or below	Stub $\approx$ 6x ex-cash earnings on the broad net-liquid basis (\$17.9B)	0.30% of book
Add 1	\$76.50 or below	Stub $\approx$ 5x broad basis	+0.30%
Add 2	\$72.20 or below	Stub $\approx$ 4x broad basis, and $\approx$6x on the trapped-cash-haircut basis (\$13.4B net liquid) — i.e. we get paid even if a third of the cash is stuck onshore	+0.40%
Cap	—	1.00% of book maximum. Quarter-sleeve. Unlevered. No margin.	—

Note the honesty problem in these bands: on the **narrow** cash basis (\$7.85B, cash + short-term investments only), the stub at spot is $\sim$ 17x, and none of these levels are “cheap” at all. **The entry bands are only valid on the broad basis, and the broad basis is exactly the number the issuer stopped publishing.** That is why the price bands are set conservatively and why the event gates below matter more than the price gates.

B. Event reopen — full re-court at Q3-26 (~2026-11-24, UNCONFIRMED)

Three hard gates, all three required for anything above a starter: 1. **Capex ex-iQIYI $\leq$ RMB6B for the quarter, with a stated FY27 capex ceiling.** (Burn must be a *step*, not a *level*.) 2. **Core online marketing revenue flat or up quarter-on-quarter** — not the y/y gate, which base effect satisfies without any improvement. 3. **Restored net-cash-net-of-debt line, on the 2025 definition verbatim** (cash + ST investments + LT time deposits/HTM **less** total loans, converts and notes payable), ex-iQIYI, **> \$15.7B (50% of market cap).**

Bonus gates that upgrade but do not substitute: an actual declared dividend with a per-ADS amount; any AI-Cloud RPO/backlog disclosure showing committed revenue above two quarters of GPU-cloud run-rate.

- **All three gates clear:** buy up to the quarter-sleeve (1.00% of book) regardless of price up to $\sim$ \$115.
- **Two of three clear:** starter only (0.30%), and only below \$95.
- **One or none:** stand down; revert to the price-only bands.

C. Exits and trims (if a position is ever established)

- **Hard stop on thesis, not on price:** gross margin printing below 38%, **or** two consecutive quarters of capex ex-iQIYI above RMB9B after an entry → exit in full within five sessions, regardless of mark.

- **Trim half** on any move to the stub reaching 12x ex-cash earnings on the *then-current* earnings base (not the entry-date base — the whole risk is that the base falls).
- **Liquidity stop:** if the HK line's share of consolidated turnover crosses 50% **and** the ADS trades at a persistent >3% discount to 9888.HK parity for 10 sessions, exit the ADS line and re-express in HK or not at all.
- **No chase above \$118.** At that level the stub is above 20x ex-cash on current earnings and the entire premise is gone.

D. Catalyst dates

- **2026-09-07** — Stock Connect inclusion effective. **CONFIRMED, primary 6-K.** Already passed; this is now a measurement start-date for the venue-migration sensor, not a trade.
- **~2026-11-24** — Q3-26 results. **UNCONFIRMED.** Pack says Nov 18 (yfinance-derived); two vendor calendars say Nov 24; no company PR names either. Treat the whole **Nov 16 – Nov 27** window as live. ~50 sessions out — no forced pre-print action.
- **During 2026 (date unknown)** — dual-primary HK conversion expected effective per the CFO. **UNCONFIRMED.**
- **During 2026 (date unknown)** — first dividend payment expected under the Feb-2026 policy. **UNCONFIRMED, no per-ADS amount announced.**
- **2026-12-18** — options expiry that keeps any loss branch inside the 2026 tax year (see tax overlay).

Position today: FLAT. Book is NO POSITION, orders NONE, and that is correct.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 89.6 (deck-provisional: Breaks the pack's 52-week low; alert only, do NOT buy the low break — first tranche is \$80.70.)
- filing watch: 6-K until 2027-03-06 (deck-provisional: Q3-26 results exhibit: capex ex-iQIYI, Core online marketing QoQ, and whether the 2025-definition net-)
- dated pack BIDUI2026-09-07: BIDU: Class A ordinary shares included in Shanghai-HK Stock Connect; effective date, per 6-K 0001193125-26-382873. (date confirmed=True)
- dated pack BIDUI2026-11-24: BIDU: Q3-26 results, the three-gate re-court date; two vendor calendars, no company PR — treat Nov 16-27 as live. (date confirmed=False)
- dated pack BIDUI2026-11-18: BIDU: Alternative Q3-26 print date carried by the evidence pack (yfinance-derived); lower-probability leg of the same window. (date confirmed=False)
- dated pack BIDUI2026-12-18: BIDU: Only options expiry that keeps a loss branch inside the 2026 harvest year; options branch voids if the print slips past Dec 5. (date confirmed=False)
- dated pack BIDUI2026-12-31: BIDU: Outside date for dual-primary HK conversion and for the first dividend payment, both 'expected in 2026' with no announced date. (date confirmed=False)

What remains unverified

1. **Q3-26 capex ex-iQIYL**. Time-gated to the print. Not drainable now. **Estimate: RMB9–13B for the quarter** (base rate: four quarters of RMB8–11.4B and an accelerating trend). **p($\leq$ RMB6B, i.e. gate 1 clears) = 0.12.**
2. **Q3-26 Core online marketing revenue, sequential**. Time-gated. **Estimate: RMB12.3–13.2B** (Q2-26 base 13.1B; the 2025 Q2→Q3 seasonal shape was –5.6% QoQ). **p(flat or up QoQ, gate 2 clears) = 0.30.**
3. **Whether the net-cash-net-of-debt line is restored on the 2025 definition**. Pure issuer discretion; no precursor exists. **p(restored on the verbatim 2025 definition) = 0.25.**
4. **Exact total debt at 6/30/26 from a fully parsed balance sheet**. Blue's ~\$16.6B total came from a secondary aggregator; only two line items were pulled from primary. Drainable now from the Q2-26 6-K exhibit / XBRL. **Estimate: RMB105–120B.**
5. **Options chain: Dec-18-2026 and Jan-15-2027 midpoint IV at ATM / \$100 / \$110, IV percentile, and 30-day realized vol**. Neither bench pulled a chain. Drainable now via IBKR. **Estimate: IV 38–48%, RV ~40%, IV percentile 40–60th** (base rate from a –39.8% 52-week drawdown name). **This is load-bearing — the instrument recommendation is an output of it.**
6. **SBC and diluted ADS count**. Pack XBRL slots came through empty; share count –1.7% y/y is secondary. Drainable now via XBRL frames. **Estimate: SBC ~RMB2.0–2.6B/qtr** (comp base rate for a large PRC internet issuer, ~7–8% of revenue).
7. **AI-Cloud RPO / committed backlog and customer concentration**. Never disclosed; not drainable from filings at all. **Estimate: committed backlog below two quarters of GPU-cloud run-rate; GPU-cloud revenue ~RMB3–5B/qtr** (inferred from the +283% growth claim against segment size). **p(any RPO disclosure by the FY26 20-F) = 0.15.**
8. **Size of the mainland cash-transfer restriction**. 20-F flags it in language only, unquantified. Not drainable. **Estimate: 60–80% of group cash held onshore; a 20–30% haircut to the net-liquid floor** (base rate from sibling PRC holdco structures). **p(haircut $\geq$ 20% is the right order of magnitude) = 0.6.**
9. **The Q3-26 print date itself**. No company PR names one. Not drainable until Baidu issues the scheduling release. **Estimate: 2026-11-18 to 2026-11-26; p(Nov 24) = 0.55.**
10. **ADS average daily volume, HK share of consolidated turnover, and ADS-vs-9888.HK parity drift post-Connect**. Drainable now via IBKR/HKEX. Our sizing safety rests on this and neither bench pulled it. **Estimate: ADS ADV 7–10M shares (~\$0.7–1.0B); HK share of consolidated turnover 35–55%.**
11. **Form 144 filer identity, CIK 1958244 (filed 2026-07-01)**. Drainable now via EDGAR CIK lookup. **Estimate: broker or affiliated-entity filing on behalf of an insider; p(controller-related) = 0.5.**
12. **Dividend per-ADS amount and declaration date**. Board discretion, not drainable. **Estimate: \$0.30–0.60/ADS annualized** (base rate: 1–2% yield initiations among newly-initiating large-cap issuers). **p(declared with the Q3 or Q4 print) = 0.5.**

PRIZE TABLE + VOL READ

Triggered because items 1, 2, 3, 7, 8, 9 and 12 are genuinely time-gated or private. **The blue bench ruled this section N/A on the grounds that BIDU is not a pre-revenue project developer; that is the wrong test and the deck overrules it.**

Scenario table — price at/just after the Q3-26 print

Anchor: spot **\$96.40**. Adjustments are made off spot, not off the \$180 street target (anchor-and-adjust: the street target is a contaminated anchor because it embeds the AI-cloud re-rate we specifically do not underwrite).

#	Scenario	What happens	p	Price
1	All three gates clear	Capex steps down to ≤RMB6B with an FY27 ceiling, ad revenue flat/up QoQ, net-cash line restored above 50% of cap	0.12	\$135
2	Partial clear	Capex decelerates but no ceiling, ads roughly flat, no restored metric — the burn looks like a step	0.28	\$110
3	Status quo	Capex ~RMB10–12B, ads –17 to –19% y/y, gross metric only, D&A starting to show	0.40	\$92
4	Compound bear	Capex up, ad decline steepens, gross margin below 38% as the tail lands, dividend deferred or token	0.20	\$72

**EV = 0.12(135) + 0.28(110) + 0.40(92) + 0.20(72) = \$98.20. Edge vs \$96.40 spot = +1.9%.
σ_table = \$18.82 = 19.5% of spot.**

Read that line honestly: 1.9% of expected edge for 19.5% of dispersion is not a trade. It is precisely why both benches said reject and why the entry bands sit 16–25% below spot — at \$80.70 the same table gives +21.7% of edge for the same dispersion, which *is* a trade.

Vol read and expression math

No options chain was pulled by either bench. Everything below is therefore conditional arithmetic, not a recommendation, and open item 5 must be drained before any option is traded. We will not substitute an underlying-level aggregate IV feed for chain midpoints — that substitution is exactly the TSSI 71-vs-101 error, where the aggregate feed and the actual chain diverged by 30 vol points and would have inverted the decision.

Table dispersion converted to a vol number: $\sigma_{\text{table/spot}} = 19.52\%$. To the **Dec-18-2026** expiry, $T = 101/365 = 0.277$ yr, $\sqrt{T} = 0.526$. **σ_{table} implies $\approx 37.1\%$ annualized.** (To the print date alone, ~ 77 days, it implies $\sim 42.5\%$.)

Candidate strikes priced off the table itself — $C_{\text{ours}} = \sum p_i \cdot \max(S_i - K, 0)$, undiscounted:

Strike (Dec-18-26)	C_ours, point masses	C_ours, smeared*	Chain midpoint	Breakeven chain IV
\$100 C	\$7.00	\$7.70 – \$8.77	NOT PULLED	$\sim 40\%$ (point mass) → 43–48% (smeared)
\$110 C	\$3.00	\$4.30 – \$5.27	NOT PULLED	$\sim 36\%$ (point mass) → 43–48% (smeared)
\$80 P (CSP)	—	—	NOT PULLED	Black-Scholes value \$0.69 @30% IV, \$1.95 @42%, \$3.69 @55%

*Smeared = each scenario treated as a lognormal with 10–15% intra-scenario dispersion rather than a point mass. The point-mass column *understates* call value because it assumes the stock lands exactly on four discrete prices; the smeared column is the honest one.

Bimodality: the table is fork-dated on a single event ($\sim$ Nov 24). Scenarios 1+2 (0.40 combined, \$110–135) sit far above scenarios 3+4 (0.60, \$72–92), with almost nothing in between. A one-date fork means the realized path is a jump, not a diffusion — which raises the fair value of out-of-the-money calls relative to any lognormal model and is why the smeared thresholds sit 7–12 vol points above the point-mass ones.

VRP: IV – RV cannot be computed — neither leg is in hand. Estimated RV $\sim 40\%$ from the drawdown profile (open item 5). **Any VRP claim in this deck would be fabricated, so none is made.**

Decision rule — the instrument is the output of this arithmetic: - **Chain midpoint IV (Dec-18-26 ATM) below $\sim 40\%$:** the table's dispersion exceeds what the chain charges → the \$110 call is the cheapest way to own the gated upside, sized to the same 0.30% starter risk. **Calls. - IV between $\sim 40\%$ and $\sim 48\%$:** the chain and the table agree within noise → **no vol edge; the only expression is stock, and stock is only justified at the price bands, i.e. \$80.70 or lower.** **Instrument = none today. - IV above $\sim 48\%$:** the chain is charging more than our own dispersion justifies → route to the premium-selling gate: **cash-secured put, Dec-18-26, \$80 strike** — which is our starter entry level anyway, so assignment is a feature, not a failure.

Given the estimated IV range of 38–48%, the most likely landing zone is the middle branch. OUTPUT: NO INSTRUMENT TODAY. Stock only, and only at \$80.70 or lower. Options are gated behind draining open item 5.

Tax overlay

- The desk treats 2026 as a **harvest year**. Any loss branch must therefore realize on or before **Dec 31, 2026**.

- **Dec-18-2026 is the only compliant expiry.** It sits ~24 sessions after the ~Nov 24 print — enough room for the fork to resolve, and inside the tax year even if the print slips to the far end of the Nov 16–27 window.
- **Jan-2027 and all later expiries are EXCLUDED.** A January expiry defers the loss into 2027, and nothing in the arithmetic above numerically dominates — the edge at spot is +1.9%, which does not come close to justifying deferring a realized loss.
- **Caveat on the CSP branch:** if the \$80 put is assigned, there is **no 2026 loss** — assignment creates a cost basis, and the premium is short-term income. The premium-selling branch is therefore **not** a harvest instrument; it is an entry instrument that happens to be paid for. Do not book it against the harvest budget.
- If the Q3 print slips past **Dec 5**, the Dec-18 expiry no longer leaves adequate post-event room and **the entire options branch is voided** — stock-only at the price bands.

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company PR – treat Nov 16-27 as live.", "confirmed": false}, {"date": "2026-
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past Dec 5.", "confirmed": true}, {"date": "2026-12-31", "what": "Outside
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K ex-99.1 non-GAAP reconciliation, ex-iQIYI columns (~2026-11-24)",
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{"item": "7. AI-Cloud RPO / committed backlog and customer concentration; never disclosed in any 6-K or 20-F.", "instrument": "20-F revenue note RPO table if it ever appears; otherwise not drainable from filings", "drainable_now": false, "estimate": {"range": "committed backlog < 2 quarters of GPU-cloud run-rate; GPU-cloud revenue RMB 3-5B/qtr", "basis": "inferred from the +283% growth claim against segment size; cloud-peer backlog-to-revenue base rate", "p": 0.15}}, {"item": "8. Quantum of mainland cash-transfer restrictions haircutting the net-liquid floor.", "instrument": "20-F liquidity note is qualitative only; walk-around via sibling PRC holdco onshore/offshore cash splits", "drainable_now": false, "estimate": {"range": "60-80% of group cash onshore; 20-30% haircut to the floor", "basis": "sibling PRC holdco structures disclosing onshore/offshore splits", "p": 0.6}}, {"item": "9. Confirmed Q3-26 print date; pack says 2026-11-18 (yfinance), two vendors say 2026-11-24, no company PR names either.", "instrument": "Baidu IR scheduling PR / 6-K filing", "drainable_now": false, "estimate": {"range": "2026-11-18 to 2026-11-26", "basis": "prior-year Q3 cadence and the 7/31/26 6-K precedent of naming the date ~2.5 weeks ahead", "p": 0.55}}, {"item": "10. ADS ADV, HK share of consolidated turnover, and ADS-vs-9888.HK parity drift post-Connect; our sizing safety rests on this.", "instrument": "IBKR / HKEX turnover series plus ADR-to-HK conversion volumes, baselined from 2026-09-07", "drainable_now": true, "estimate": {"range": "ADS ADV 7-10M shares (~$0.7-1.0B); HK share 35-55% of consolidated turnover", "basis": "dual-listed PRC ADR comps post-Southbound inclusion", "p": 0.6}}, {"item": "11. Form 144 filer identity, CIK 1958244, filed 2026-07-01; flagged but unresolved by both benches.", "instrument": "EDGAR CIK lookup / full-text search on the accession 0001958244-26-000422", "drainable_now": true, "estimate": {"range": "broker or affiliated entity filing for an insider; single filing, no pattern", "basis": "base rate for standalone 144 filer CIKs at large-cap issuers", "p": 0.5}}, {"item": "12. Dividend per-ADS amount and declaration date under the Feb-2026 first-ever dividend policy.", "instrument": "6-K dividend declaration PR; board discretion, no precursor", "drainable_now": false, "estimate": {"range": "$0.30-0.60/ADS annualized (~0.3-0.6% yield at $96)", "basis": "initiation-yield base rate for newly-initiating large-cap issuers, scaled down for negative FCF", "p": 0.5}}}]

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ADJUDICATION — 2026-09-16 15:37Z

The brief's FCF-ex-iQIYI ≥ 0 gate had already failed for ≥ 4 quarters (Q2 -RMB8.3bn). Balance-sheet floor probably clears ~59% ex-illiquid.

REOPEN GATES: capex ex-iQIYI $\leq$ RMB6B with an FY27 ceiling; Core online marketing QoQ flat-or-up; restored net-cash-net-of-debt line $\rightarrow$ quarter-sleeve

